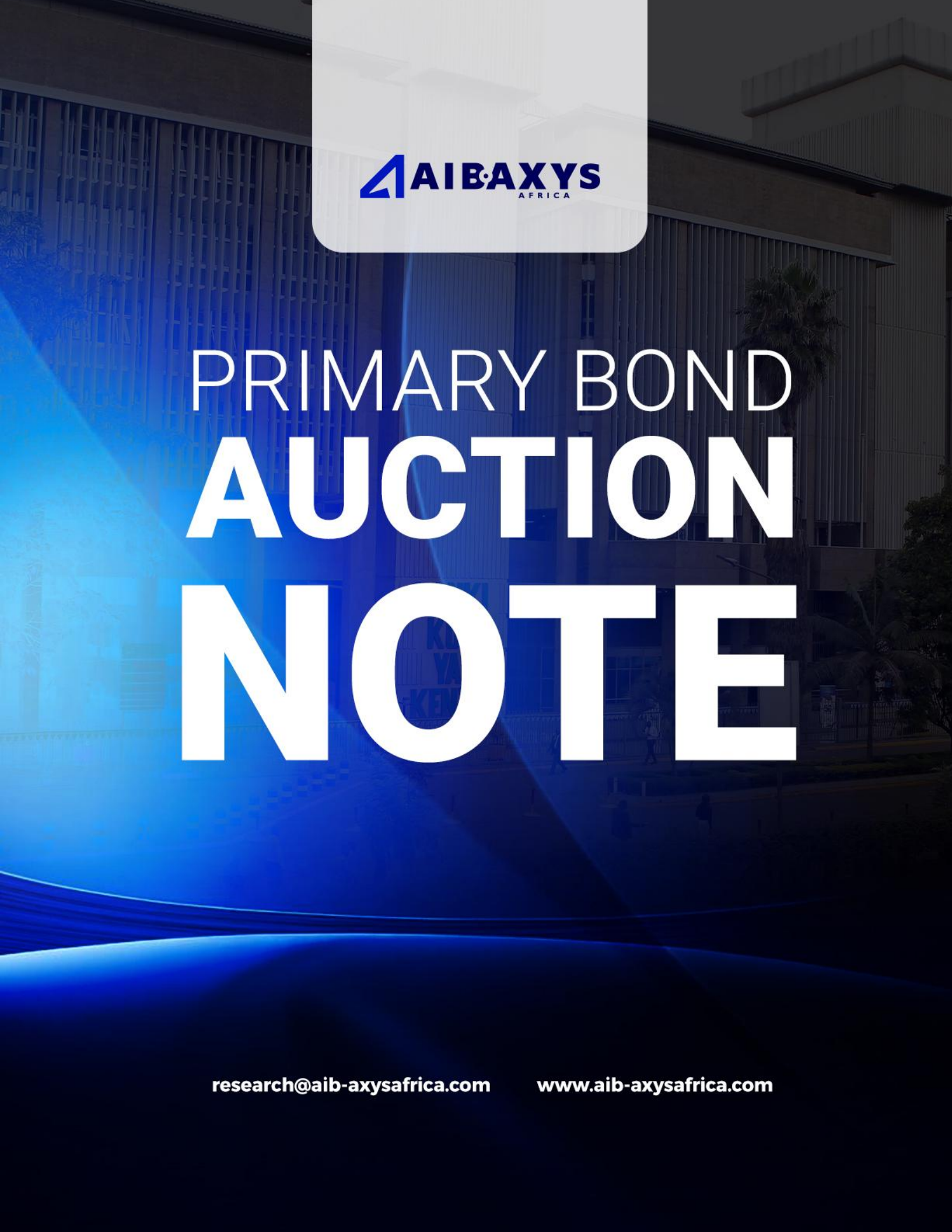

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AIB-AXYS November 2025 Primary Bond Auction Note

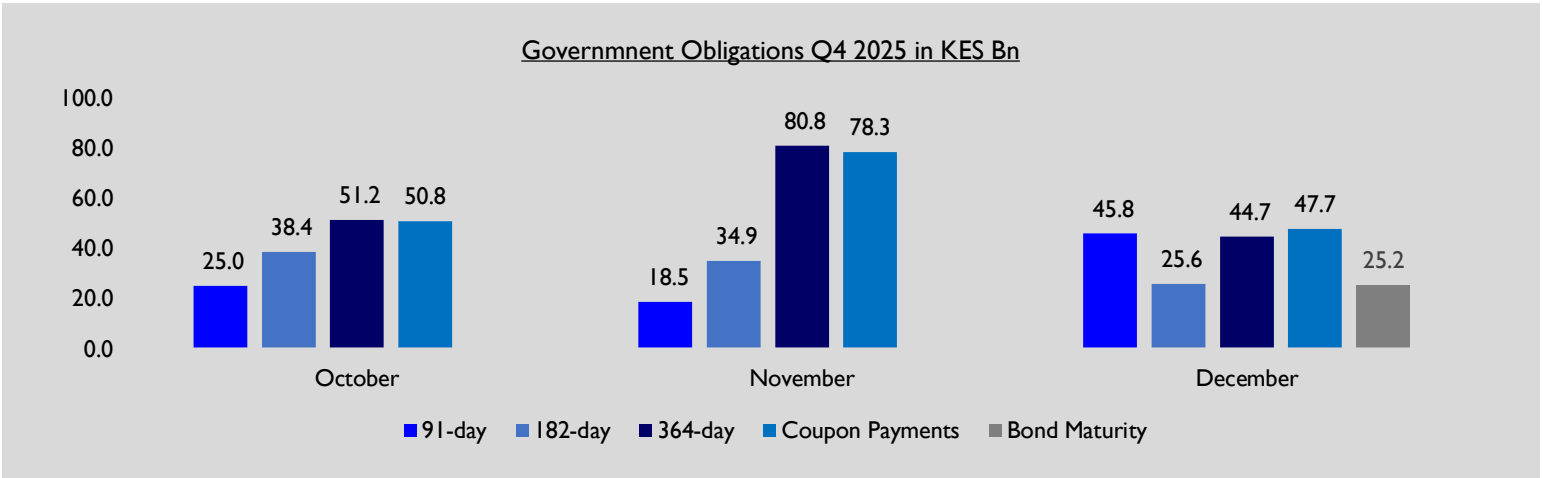
Summary

- **The Exchequer is seeking to raise KES 40.00Bn through the re-opening of the FXDI/2012/020 & FXDI/2022/015** treasury bonds earmarked for budgetary support in FY25/26.

- After a brief breather in October, the government will face KES 212.5 Bn in debt obligations in November, comprising maturities and coupon payments. From recent trends in primary auctions, it is clear that the government remains cautious about the cost of debt, prudently managing borrowing costs by rejecting aggressive bids. The market has responded by becoming less aggressive in its bidding behavior. Heavy subscription of infrastructure bonds has helped the government front-load its domestic borrowing, putting it ahead of its prorated borrowing target. However, in the first three months of the fiscal year, the exchequer has lagged in revenue collection, posing a challenge to funding needs. Consequently, tax underperformance is likely to compel the government to rely more on the debt market, particularly the domestic segment to bridge the shortfall in the near term. This presents a good opportunity for the market to negotiate for better return
- **Our recommended competitive bidding yield on the paper is indicated in Table 1 on the right.**

Table 1: Key Auction Highlights

FXD1/2012/020 & FXD1/2022/015	
Issuer:	Republic of Kenya
Total Amount:	KES 40.0 billion
Purpose:	Budgetary Support
Tenor:	**FXDI/2012/020**-(7.0 Years)– Re-opened **FXD1/2022/015**-(11.4 Years)– Re-opened
Coupon Rate:	**FXDI/2012/020** – 12.0000% **FXD1/2022/015** – 13.9420%
Price Quote:	Discounted/Premium/Par
Period of sale:	23-October-2025 to 5-November-2025
Minimum Amount:	KES 50,000.00
Taxation:	10.00%
Maturity Dates:	**FXDI/2012/020** – 1-November-2032 **FXD1/2022/015** – 6-April-2037
Non-competitive bids per CSD A/C:	Maximum KES 50 million per CDS A/c
Competitive bid per CSD A/C:	Minimum KES 2 million per CDS A/c
AIB-AXYS Competitive Bidding Range Recommendation:	**FXDI/2012/020** – 12.39%-12.59% **FXD1/2022/015** – 13.24%-13.44%



Term Structure of Interest Rates

The yield curve has continued to normalize, now showing a steepening slope a shift from last year's inversion. The short end of the curve has recorded more year-to-date spread movement compared to the longer end. We expect this trend to persist in the near term, supported by an easing monetary policy, as investors continue to demand a premium on the longer end of the curve. We also foresee another rate cut in the December Monetary Policy Committee meeting, given the recent projections that inflation will remain anchored, which strengthens the case for further easing. Additionally, the government is already underperforming on tax collection, with exchequer receipts at KES 575.24 Bn for the first three months of FY 2025/26; a performance rate of 83.5% against a prorated target of KES 688.68 Bn. This underperformance means the apex bank will rely more on the debt market, particularly the domestic market, to bridge the revenue gap. In line with its borrowing plan, the government aims to lower debt costs, which explains the rejection of aggressive bids observed in recent primary bond auctions.

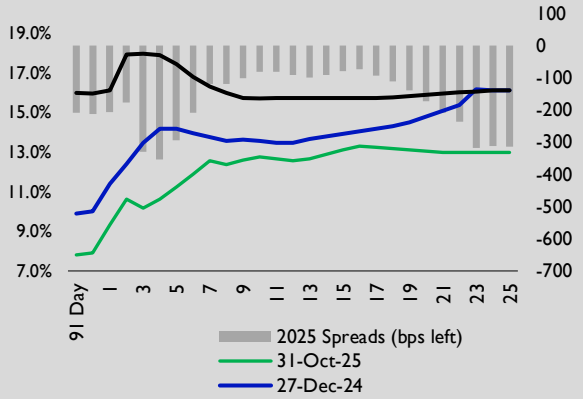
Market Liquidity

Kenya Shilling Overnight Interbank Average (KESONIA) eased to an average of 9.33% from 9.46%, mainly attributed to eight consecutive rate cuts that saw the Central Bank Rate drop to 9.25%. With a narrower interest rate corridor of 75 bps, we expect KESONIA to track the CBR closely. In addition, in October lending activities eased by 13.0% on a monthly basis to KES 231.11 Bn from KES 265.58 Bn

Price Levels

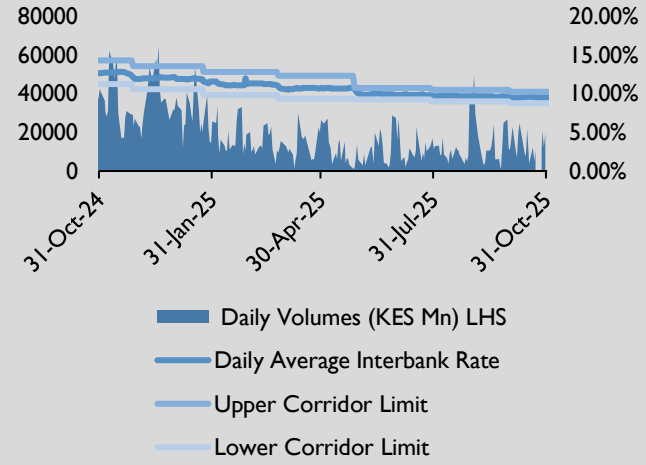
October's CPI remained relatively unchanged from September's at 4.6%, in line with our in-house projections, after three consecutive months of increases. According to the Kenya National Bureau of Statistics (KNBS), inflation was driven mainly by higher costs in Food and Non-Alcoholic Beverages (8.0%), Transport (4.8%), and Housing, Water, Electricity, Gas & Other Fuels (1.9%). On a month-on-month basis, the Consumer Price Index (CPI) rose slightly by 0.2%, from 146.56 in September to 146.84 in October, with core inflation contributing 2.8 percentage points and non-core items adding 1.8 points to the overall reading. In the near term, inflation is expected to remain anchored within the CBK's target range of 2.5%–7.5%, supported by a stable shilling and steady energy prices. Easing monetary policy may gradually stimulate money supply, which could, in turn, nudge the CPI higher. Investors should pay close attention to CPI readings when assessing real returns rather than nominal returns

Chart 2: Domestic Yield Curve Evolution



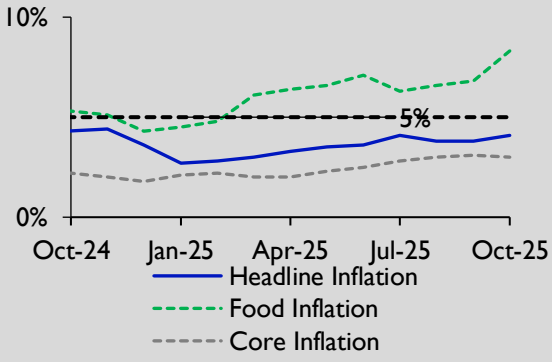
Source: CBK, AIB-AXYS Africa Research

Chart 3: Interbank Rate and Volumes



Source: CBK, AIB-AXYS Africa Research

Chart 4: Price Levels



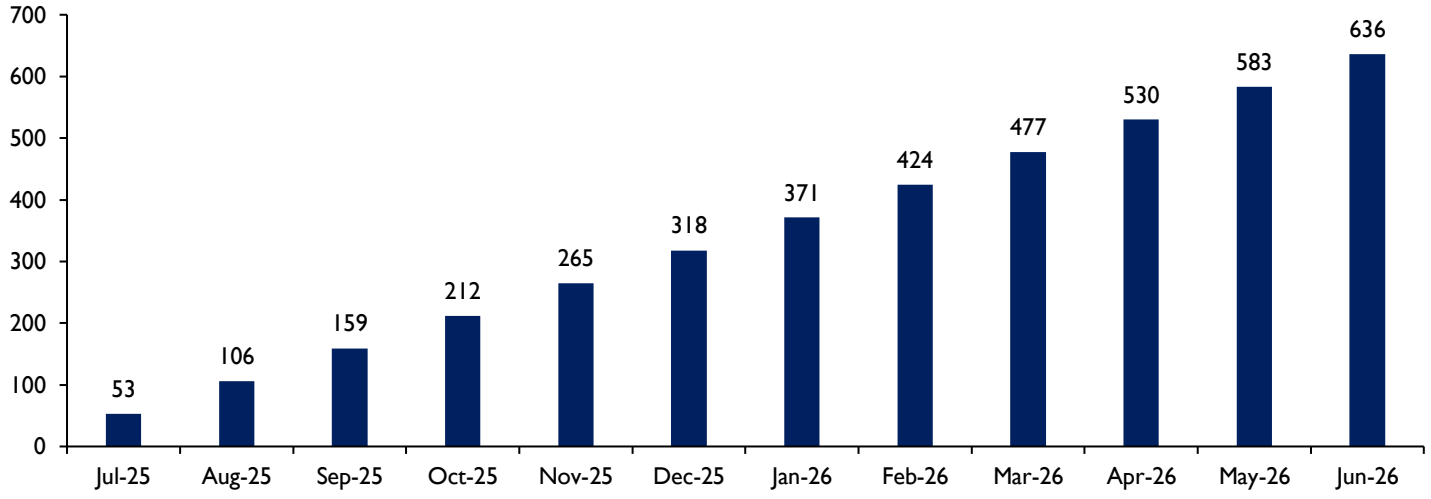
Kenya National Bureau of Statistics, AIB-AXYS Africa Research

Table 2: Comparable Bond Duration Yields

Issue No.	Maturity Date	Remaining Tenor in Years	Outstanding Amount KES Mn.	Fixed Coupon Rate	Implied Yield to Maturity
Comparable Yields for the FXDI/2012/020 - (7.0 Years)					
FXD1/2022/010	3-May-2032	6.5	80,901.70	13.4900%	12.2304%
FXDI/2012/020	**1-Nov-2032**	**7.0**	**130,805.92**	**12.0000%**	**12.5744%**
FXD1/2032/010	31-January-2033	7.2	73,595.17	14.1510%	12.7500%
Comparable Yields for the FXD1/2021/020- (11.5 Years)					
FXD11/2016/020	1- Sept-2041	10.9	21,972.90	14.000%	12.6626%
FXD1/2021/020	**6-April-2037**	11.5	129,190.48	**13.9420%**	**12.6017%**
FXD1/2018/020	1- March 2038	12.4	168,837.68	13.2000%	12.5100%

Source: CBK, AIB-AXYS Africa Research

FY25/26 Domestic Borrowing Target (KES Bn)



Source: CBK, AIB-AXYS Africa Research

CBK Previous Primary Bond Auctions

	Offered Amount (KES, Mn)	Paper(s)	Duration at Issuance (yrs)	Performance Rate	Coupon Rate (%)	Market Average Yield (%)	Accepted Average Yield (%)	Deviation from Yield Curve
Nov-24	25,000	FXD1/2023/010 Re-opened	8.3		14.151%	16.150%	15.972%	-17
		FXD1/2022/015 Re-opened	12.5	**132.2%**	13.942%	16.385%	16.299%	-21
	20,000	FXD1/2024/010 Re-opened	9.4	**277.9%**	16.000%	16.113%	15.855%	25
Dec-24	25,000	FXD1/2023/010 Re-opened	8.2		14.151%	14.864%	14.691%	84
		FXD1/2018/020 Re-opened	13.3	**285.3%**	13.200%	15.271%	15.112%	85
	20,000	FXD1/2024/010 Re-opened	9.3	**268.1%**	16.000%	14.782%	14.685%	4
Jan-25	30,000	FXD1/2018/015 Re-opened	8.3		12.650%	14.329%	14.210%	75
		FXD1/2022/025 Re-opened	22.8	**196.7%**	14.188%	15.743%	15.683%	8
Feb-25	70,000	IFB1/2022/014 Re-opened	11.8		13.938%	14.086%	13.978%	27
		IFB1/2023/017 Re-opened	15.1	**277.0%**	14.399%	14.416%	14.281%	118.5
Mar-25	25,000	FXD1/2018/025 Re-opened	18.3	**188.1%**	13.400%	13.938%	13.803%	51
Apr-25	70,000	FXD1/2020/015 Re-opened	9.9		12.756%	13.671%	13.665%	82.39
		FXD1/2022/015 Re-opened	12.1		13.942%	13.837%	13.828%	124.3
		FXD1/2022/025 Re-opened	22.6	**102.5%**	14.188%	14.237%	14.234%	65.33
	10,000	FXD1/2020/015 Tap-sale	9.9	**132.4%**	12.756%			
May-25	50,000	FXD1/2022/015 Re-opened	12.0		13.942%	13.942%	13.913%	145.42
		FXD1/2022/025 Re-opened	22.5	**114.2%**	14.188%	14.636%	14.538%	130.24
	30,000	FXD1/2012/020 Re-opened	7.6	**181.3%**	12.000%	13.733%	13.649%	137.9
Jun-25	50,000	FXD1/2020/015 Re-opened	9.7		12.756%	13.606%	13.487%	70.9
		SDB1/2011/030 Re-opened	15.7	**202.7%**	12.000%	14.181%	13.998%	152.55
Jul-25	50,000	FXD1/2018/020 Re-opened	12.8		13.200%	13.945%	13.899%	140.19
		FXD1/2018/025 Re-opened	18.0	**153.8%**	13.400%	14.435%	14.348%	137.85
Aug-25	90,000	IFB1/2028/015 Re-opened	7.5		12.500%	13.530%	12.993%	44.52
		IFBI/2022/019 Re-opened	15.6	**359.4%**	12.965%	14.237%	13.999%	41.5
		IFB1/2028/015 Tapsale	7.5		12.000%	13.530%		
		IFBI/2022/019 Re-Tapsale	15.6	**414.9%**	12.965%	14.237%		
Sep-25	40,000	FXD1/2018/020 Re-opened	12.5		13.200%	13.724%	13.080%	64.4
		FXD1/2022/025 Re-opened	22.2	**243.2%**	14.188%	14.246%	12.782%	146.4
Oct-25	50,000	FXD1/2018/015 Re-opened	7.7		12.750%	12.652%	12.385%	26.7
		FXD1/2021/020 Re-opened	15.9	**237.8%**	13.444%	13.529%	13.310%	21.8
Average*	**43,000**		**13.4**	**214.7%**	**13.654%**	**14.683%**	**14.279%**	**73.033**

*Source: CBK, AIB-AXYS Research, *- Yearly average results excludes tap sales*



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